

headphones because I eat nearly every meal at home, don't have a car payment, and can't remember the last time I bought a new item of clothing. Again, a budget requires you to make tradeoffs; if you are going to splurge in one area of your budget, it is going to put a strain on another.

The Three Biggest Mistakes in Budgeting

When people are discussing the virtues of budgeting, they will often bring up an example involving a daily Starbucks latte and how much money it costs a person per year. While I agree that most people should not spend \$1,200 per year on takeout coffee, I have never met a person whose financial problems could be blamed solely on their caffeine addiction. People typically bankrupt themselves in three main categories: housing, transportation, and food.

Housing. When people are making bigger purchases like cars or housing, they often overlook the most important question in a purchase: How much is this going to cost me? Many people will look at two apartments and choose the more expensive one, figuring, "It's only \$300 more per month!" What they're not realizing is that \$300 per month adds up to \$3,600 over the course of a year—which is real money that would go a very long way if it were invested in the long term. Yet for some reason, people are more willing to spend that extra \$300 on something that has a higher price overall.

To put it into context, if you were offered a gym membership for \$25 a month versus one for \$325 a month, you would probably laugh at the \$325 offer, because it is so absurdly expensive. However, if you were offered an apartment for \$1,200 a month